Q11

It could be argued that it is preferable to have different people in each of these roles. The role of the CEO is usually associated with leadership for the company as a whole, while the chair is responsible for leadership of the board. [1]

Keeping both roles separate enables the chair to monitor the actions of the executive board as a whole and the CEO as an individual. [1]

From a governance point of view, that independence might reassure the shareholders that the board is being adequately supervised. [1]

Having one person fulfil both roles could lead to a loss of trust and/or confidence in the company's senior management, which could have an impact on the share price. [1]

The fact that the departing chair is retiring could suggest that it is time for a new appointment to review the company's operations from a fresh perspective. [1]

[Total 5]

Commentary:
This question was answered reasonably well by many candidates. Few candidates mentioned the departing chair and any possible changes as a resulting from that. Many candidates still performed well in this question.

© Institute and Faculty of Actuaries

CB1 - Business Finance - Core Principles - September 2024 - Examiners' report